BUS 604-94201: GOVERNMENT CONTRACTS BASICS: SUBCONTRACTING

Pamela D. Jenkins
Prince George's Community College

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Author's Biography

GOVERNMENT CONTRACTS BASICS: SUBCONTRACTING

PRESENTED BY: PAMELA D JENKINS BUS-604-94201

Brief Bio: PAMELA D JENKINS

Adjunct Professor for Prince George's Community College's Business &

Entrepreneurship Dept., Prof Studies & Community Education Division

Certified Professional Contracts Manager (CPCM) by the National Contracts

Management Association (NCMA)

Current Board Member of The Training Source

Current Board Member of Delta Foundation Inc.

Current Board Member of the Women's Council of Realtors, Prince George's County

Network

Board Member 2019 - 2021of the Prince George's County Association of Realtors

Current Government Contracts Consultant and Real Estate Professional

Former Sr. Contracts Manager/Small Business Advocate/Trainer for Orbital Sciences

Corporation (currently aka Northrop Grumman)

Education:

Bachelor of Science, Business Admin., Washington Adventist University

Masters Business Administration/Global Mgmt., University of Phoenix

Licensing

*A detailed breakdown of this resource's licensing can be found in **Back Matter/Detailed Licensing**.*

1: Background Info

What is Subcontracting and Why Do Companies Subcontract

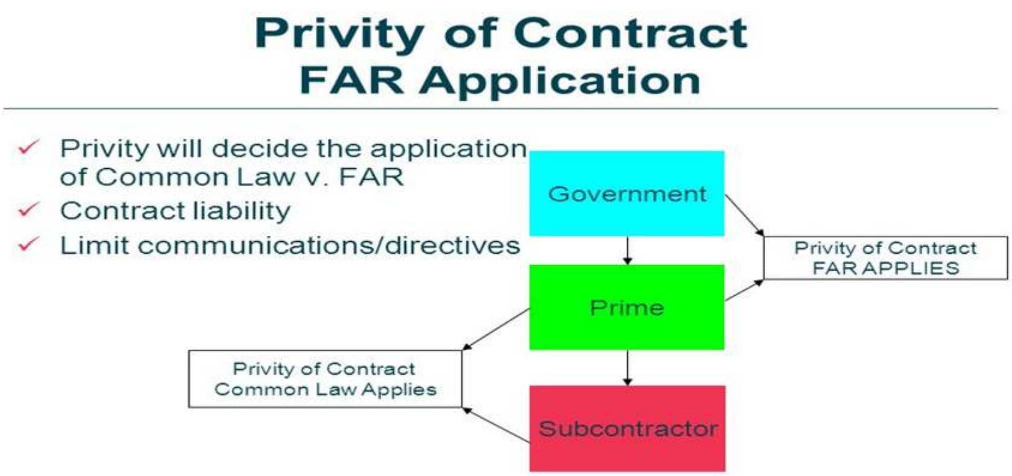
A subcontractor is usually type of contractor who works in a specialized area and could be a freelancer, independent contractor, or vendor.

While the contractor maintains relationships with clients (e.g., corporations or the government), the subcontractor works with a contractor, providing

their specialized skill-set in exchange for a contractual fee. The subcontracting individual or company reports to the primary (Prime) contractor, who is

responsible for managing the contracted work from initiation to completion. (Ref Investopedia By Adam Hayes)

What is Privity of Contract and Why Is It Important



- **With Privity**

  - Prime Contractor ultimately responsible for fulfilling prime contract requirements.

  - Subcontractor is ultimately responsible for fulfilling the subcontract requirements

  - Direct legal relationship between the parties to a contract that is recognized by law

- **Without Privity**

  - No Contract

  - No Control

  - No enforcement mechanism

  - No involvement

  - No obligation

Who Can Subcontract

• Large/Medium/Small Companies

• Small/Women/Veteran/Disadvantage, etc.

• Anyone that has a product/service that is needed by another entity.

Why Do Companies Subcontract

- Can’t do the work with internal resources
- Subcontractor could increase competitive advantage because of existing relationships
- Possibly to provide more cost effective solutions
- Share contract risk/reward
- Customer Preference
- Need to meet SB (Small Business)/SDB (Small Disadvantage Business) goals
- Commercial or unique product/service
- Quantity discounts due to long term subcontractor relationships

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2: Overview of Subcontracting Stages

Subcontracting stages are similar to the stages in a prime contract award and include:

Pre-Award

- Obtaining the Solicitation
- Preparation of Offer
- Offer Submission

Award

- Cost or Price Analyses
- Negotiations
- Source Selection

Post-Award

- Subcontract Administration/Management
- Subcontract Close-out

Pre-Award (Obtaining the Solicitation)

After your company has made the decision to purchase goods or outsource services, the procurement team develops a plan that includes:

- Selecting the appropriate relationships and contract approaches for each type of purchased goods or outsourced services
- Develops a description of the work (often called the Statement/Scope of Work, Project Scope, etc., that details the requirements and performance expectations, including

pricing information, schedule/due dates of deliverables, period of performance and payments) for the items being outsourced. From this information the procurement

team can usually determine, who (contractor or subcontractor) has the skill-set for the scope of work, what are the risks and which party should assume which types of

risk; as well as, if the required work or materials is a commodity, customized product/service requiring a unique skill and what type of relationship is needed (e.g.,

supplier, vendor, or subcontractor) and how the supplier, vendor, or potential subcontractor be obtained (e.g., via RFQ, RFP, or personal contact).

- Then RFQs and RFPs are prepared and sent out to potential subcontractors, vendors and/or suppliers if they are already on a bidder's list, or are posted in a database for

  easy access. The responses to the RFP/RFQ's will be in the form of a proposal which will provide the information needed for the procurement team to

  evaluate subcontracting/vendor/supplier resources available to meet the requirements of the overall contract.

- Depending on the complexity level of the project, this process can take either hours or sometimes weeks or months to complete.
- The complexity of the requirements will also dictate if a teaming arrangement with selected subcontractors will be necessary.
- Government contractors enter into Teaming Agreements to secure contracts with partners that will help them win and perform the work. (Be aware, certain terms in a

  teaming agreement may not be enforceable, particularly the clauses providing for the award of a subcontract.)

  Items usually included in a Teaming Agreement:

  ❑ Purpose and Scope of the Agreement

  ❑ Prime Contractor Responsibilities

  ❑ Subcontractor Responsibilities

❑ Profit Distribution

❑ Confidentiality

❑ Intellectual Property

❑ Non-circumvention/ non-compete clause

❑ Termination Provisions

As a subcontractor, one of the ways to obtain solicitations is to become a Qualified Bidder.

A Qualified Bidder is a person or organization capable of providing the materials or performing the work required for the project. On smaller, less

complex projects, the Contractor typically has a list of suppliers/vendors/subcontractors that have successfully provided goods/services in the past,

and the project has access to past performance information. On unique projects, where no supplier lists exist, the project team develops a list of

potential suppliers and then qualifies them to become eligible to bid on project work.

The potential supplier must also be financially stable to be included on the bidders list. A credit check or a financial report from Dun and Bradstreet

(D&B) (a well-known provider of financial information about individual companies) will provide the project with information about the potential

bidder's financial status. D&B services include the following:

- D&B proprietary rankings and predictive creditworthiness scores
- Public filings, including suits, liens, judgments, and UCC (uniform commercial code) filings—standardized financial disclosure documents that conform to the uniform commercial code
- Company financial statements and history

****IMPORTANT**IMPORTANT**IMPORTANT**IMPORTANT****

If you are a contractor/subcontractor that wants to do business with the Federal Govt., it is extremely important that you register your business in the

SAM (System for Award Management) database, known as SAM.gov (View instructional video at https://youtu.be/y2t5queourQ).

Link to SAM User Guide for Non-Govt Entities by (DOE). Includes instructions on using new identifier number.

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Section H – Special Contract Requirements

Section I - List of Attachments

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Section L – Proposal Preparation Instructions

Section M – Evaluation Factors for Award

To prepare your offer you diligently follow the information contained in the Sections of the RFP. For example, Section L – Proposal Instructions, will tell

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proposal in separate Volumes/Sections such as:

- Offer (Usually Volume I)
- Technical Proposal (Usually Volume II)
- Cost/Business Proposal (Usually Volume III)

Volume I - Offer

Includes offer to enter into a contract to perform the work and includes the standard form (SF33) that the government uses to award the

contract as well as other administrative documentation.

Volume II – Technical/Management Proposal

Includes narratives, charts, evidence of past performance, Key Personnel, etc., to prove to the Govt that you can perform the requested

work.

Volume III - Cost/Business Proposal

All costs/pricing, fee, labor and material estimates and other related information is included in this section to tell the Govt how much you

charge for doing the work proposed in Volume II - Technical

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delivery (be early, one second late and you're out).

- Proposal sections should be easy to separate into sections for distribution to evaluators (e.g. finance, technical, management) and each should be able to stand on

its own, so if information from one section is needed to understand another, it should be included in both.

- The quality of the proposal is directly related to the ability to provide a strategic response that conveys not only that your client will comply, but how the company

will comply and how its approach sets it apart from the competition.

- The writing style should be clear and concise, and every phrase should be directly related to how the company will meet the agency's needs. Avoid claims or

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4: Award

Award (Cost and Price Anaylsis)

The first thing to understand is that" "cost" analyses and "price" analyses are not synonymous terms. Cost analyses and price analyses are two unique

methods of projecting costs for projects and programs.

Cost analysis is the review and evaluation of any separate cost element and profit or fee in an offeror's or contractor's proposal, as needed, to

determine a fair and reasonable price or to determine cost realism.

A "price" analysis" is an evaluation of the offeror's price relative to the prices being offered by other vendors and being paid by the general public for

the same or similar items.

The pricing section should be short, simple and to the point and present an accurate price for the product/service offered in the detailed specification

or the work described in the Technical Volume of the proposal.

Award (Negotiations)

Negotiated RFP means a Request for Proposal which allows for consecutive or concurrent negotiations to be conducted with Bidders on any of the

contract terms including, but not limited to, the technical specifications, commercial terms and/or prices following the process outlined in the Request

for Proposal (See FAR Part 15 for further details).

The primary objective of the Government's discussions is to maximize the it's ability to obtain best value, based on the requirement and the evaluation

factors set forth in the solicitation.

Contract negotiations are a necessary part of any business agreement.

In truth, the purpose of contract negotiations for the Contractor/Subcontractor is to ensure that compensation is fair for the value you provide.

The negotiation process requires the use of various methods which should be adjusted to meet the need at hand. Following are a few suggestions to keep in mind:

1. Determine What's at Stake and Prioritize Your Goals

When entering a negotiation, come to the table with a clear idea of what you need to get out of the interaction and why. Having a plan will also help

you determine which concessions you're willing to make, and which terms are not up for debate. If you find yourself tempted to settle at any point,

your priorities can be a helpful reminder to stand firm.

2. Know Who's At the Table

As stated by NOLO, "The party with more information usually has more leverage."There's a reason why "Knowledge is power" is a statement that has

been quoted a myriad of times throughout history. Getting to know the organization or individuals you're meeting with will go a long way towards helping your

negotiation run smoothly. Arm yourself with information on the other party's goals and interests, to be better prepared for any arguments they might throw your way.

Additionally, you'll have a better idea of what they can realistically offer you, allowing you to ensure that your proposals are feasible.

3. Break the Negotiation Down Into Parts

The fastest way for a negotiation to stop cold is when too much is on the table at once. Ramping up to ultimatums and all-or-nothing offers gives you

very little room for debate and makes it unlikely that you'll find an agreeable compromise. When faced with such a scenario, the key is to break it

down into smaller, more manageable parts.

4. Keep It Professional

When conflict arises, unregulated tempers can very quickly escalate the situation, resulting in people's frustrations emerging in the form of personal

insults or attacks.

Avoid taking such interactions to heart. Responding in equal measure will simply make matters worse. Instead, put your efforts into diffusing the

situation and getting at the root of the issue. Arguments based on research instead of opinions are much more convincing, harder to refute, and will ultimately do a

better job of supporting your case.

5. Don't Get Discouraged By the First Offer You Get

Remember, this is a negotiation. If you don't like the offer, don't accept it. The first offer you receive is nothing more than a starting point, and if it's

substantially different than what you were looking for, put your energy into understanding why. Is the other party subject to more limitations than you'd initially

assumed? Did they perhaps misunderstand your request? As Entrepreneur.com points out, "If you n't understand something, ask for clarification. If you don't agree, ask to discuss the point."

6. Adjust Your Strategy to the Situation

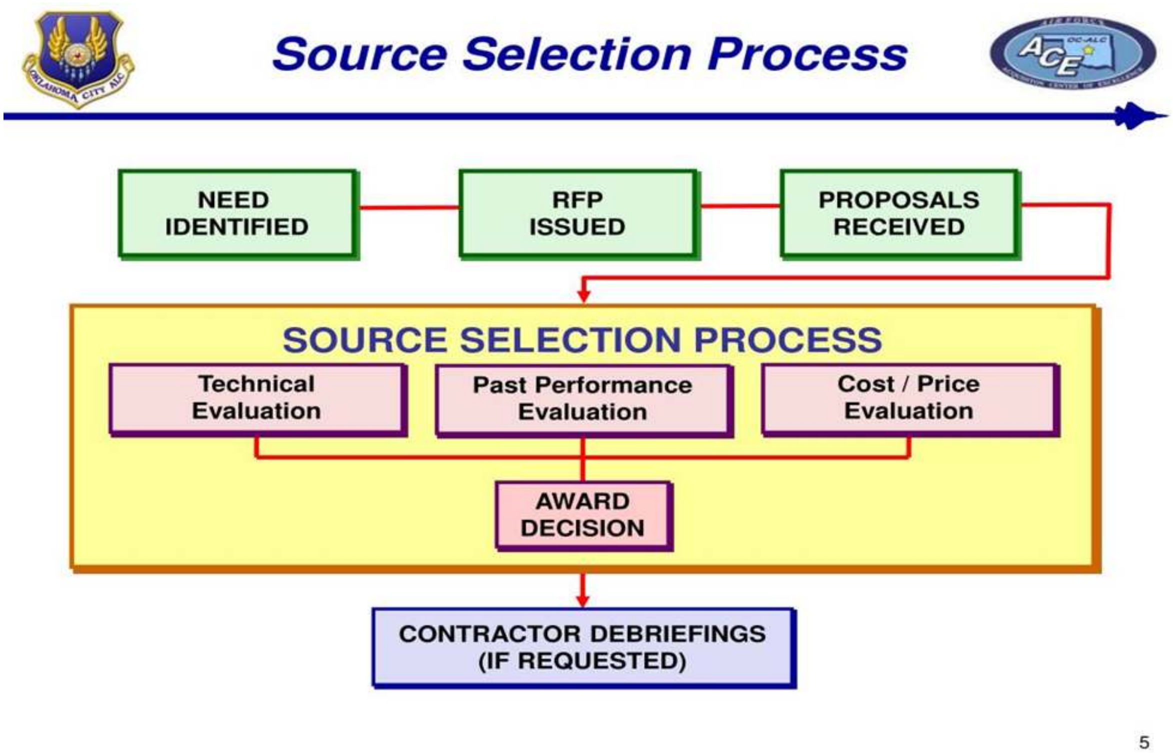
There are many different approaches you can take when negotiating a contract/subcontract.

- You could point out that your requests are in line with current standards and are not unusual or excessive.
- You could prepare certain concessions you're willing to make to allow the other party to feel like they're getting the better end of the deal.

• You could focus solely on showing how this agreement will be beneficial to the other party in terms of long-term profits.

Each of these examples can be extremely successful in the right context, but they can also backfire if applied to the wrong situation.

Award (Source Selection)



In the source selection process of a competitive procurement, proposals are examined against the requirements, facts, recommendations, and

government policy relevant to an award decision, and, in general, the best value proposal is selected.

Emphasis is placed on the process, making sure that both government and industry have a clear understanding of what is needed and what is offered.

The Government Accountability Office (GAO) has reviewed many protests over the years, and two main reasons for protest sustainment are that the

government did not follow its own process and/or did not quantify the value of a higher priced offer from the low-priced offer. The proposal technical

evaluation is a critical aspect of this process, and it is driven by the need to understand the technical, cost, and schedule risks presented in each

proposal.

Evaluation of bids in response to RFQs for commodity items and services is heavily graded for price. In most cases, the lowest total price will win the

contract. The total price will include the costs of the goods or services, any shipping or delivery costs, the value of any warranties, and any additional

service that adds value to the project.

The evaluation of bids based on RFPs is more complex. The evaluation of proposals includes the price and also an evaluation of the technical approach chosen by the bidder. The project team evaluating the proposal must include people with the expertise to understand the technical aspects

of the various proposal options and the value of each proposal to the project. On more complex projects, the administrative part of the proposal is

evaluated and scored by one team, and the technical aspect of the proposal is evaluated by another team. The project team combines the two scores

to determine the best proposal for the project.

An agency can obtain best value in negotiated acquisitions by using any one or a combination of source selection approaches. In different types of

acquisitions, the relative importance of cost or price may vary. For example, in acquisitions where the requirement is clearly definable and the risk of

unsuccessful contract performance is minimal, cost or price may play a dominant role in source selection. The less definitive the requirement, the

more development work required, or the greater the performance risk, the more technical or past performance considerations may play a dominant

role in source selection.

The evaluation of bids based on RFPs is more complex. The evaluation of proposals includes the price and also an evaluation of the technical

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to determine the best proposal for the project.

5: Post Award

Post Award (Subcontract Admin/Management)

If administered properly, subcontract management promotes consistency in managing subcontracts across functions, mitigates risk to the organization

and contract, and can increase profitably. Defining expectations across procurement and program management personnel is a critical component of

subcontract management.

Management of subcontracts really starts at the pre-award stage and can be identified through a subcontract lifecycle. Understanding specific tasks in managing the subcontract, as well as requirements and assignment of responsibilities during each lifecycle phase, will aid compliance. Knowing the

specific tasks and responsibility within the organization is critical to success. To further detail, the subcontract management phases can include the

following task :

Pre-award phase

• Identify capability versus capacity and the costs and the costs and benefits

• Define technical, performance and/or deliverable requirements

• Identify pricing and funding considerations

• Identify subcontract types based upon the type of work

• Identify potential vendors

Award phase

• Perform the technical and price reasonableness evaluation as part of the proposal

analysis

• Identify past performance/reputation considerations

• Evaluate representations and certifications

• Validate debarment status

• Document award

Post award

• Maintain subcontract files from both procurement and program management perspectives

• Ensure compliance with the subcontracts administrative requirements

• Review and approve/rejecting subcontract deliverables

• Obtain, review, and act upon subcontractor status reports

• Project cost analysis and reporting include:

• Obtain and report subcontractor costs at the proper levels

• Incorporate subcontractor costs into program level on a timely basis

- Identify how subcontractor utilization is impacting performance, funding

Contract close-out

• Verify completion and acceptance of SOW and all deliverables

• Manage government furnished property

• Obtain waivers and releases

• Finalize indirect rates

• Final payment (if applicable)

Post Award (Subcontract Close-out)

Contract closeout is analogous to administrative closure. Its purpose is to confirm the obligations of the contract were met as expected. The project

manager, the customer, key stakeholders, and, in some instances, the seller may complete product verification together to confirm that the contract has been completed. A modification/amendment to the subcontract needs to be done to formally consider the subcontract closed.

Index

Glossary

Sample Word 1 | Sample Definition 1

Detailed Licensing

Overview

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